What your CTC hides

Rs 20 lakh on the offer letter.

Here's where it goes before it reaches you.

a worked example, new tax regime 2026-27

swipe ->

Rs 20,00,000

The number on the offer letter.

Basic pay: 40% of it (a common structure).

Your company's structure will differ. The logic won't.

swipe ->>

- Rs 96,000

Your employer's PF share.

Counted in your CTC. Goes to your PF account, not your bank.

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- Rs 38,462

Gratuity.

Also in your CTC. Paid only if you stay 5 years.

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- Rs 96,000

Your own PF.

Deducted from your salary, every month.

swipe ->>

- Rs 1,64,432

Income tax, new regime.

After the Rs 75,000 standard deduction, with 4% cess.

swipe ->>

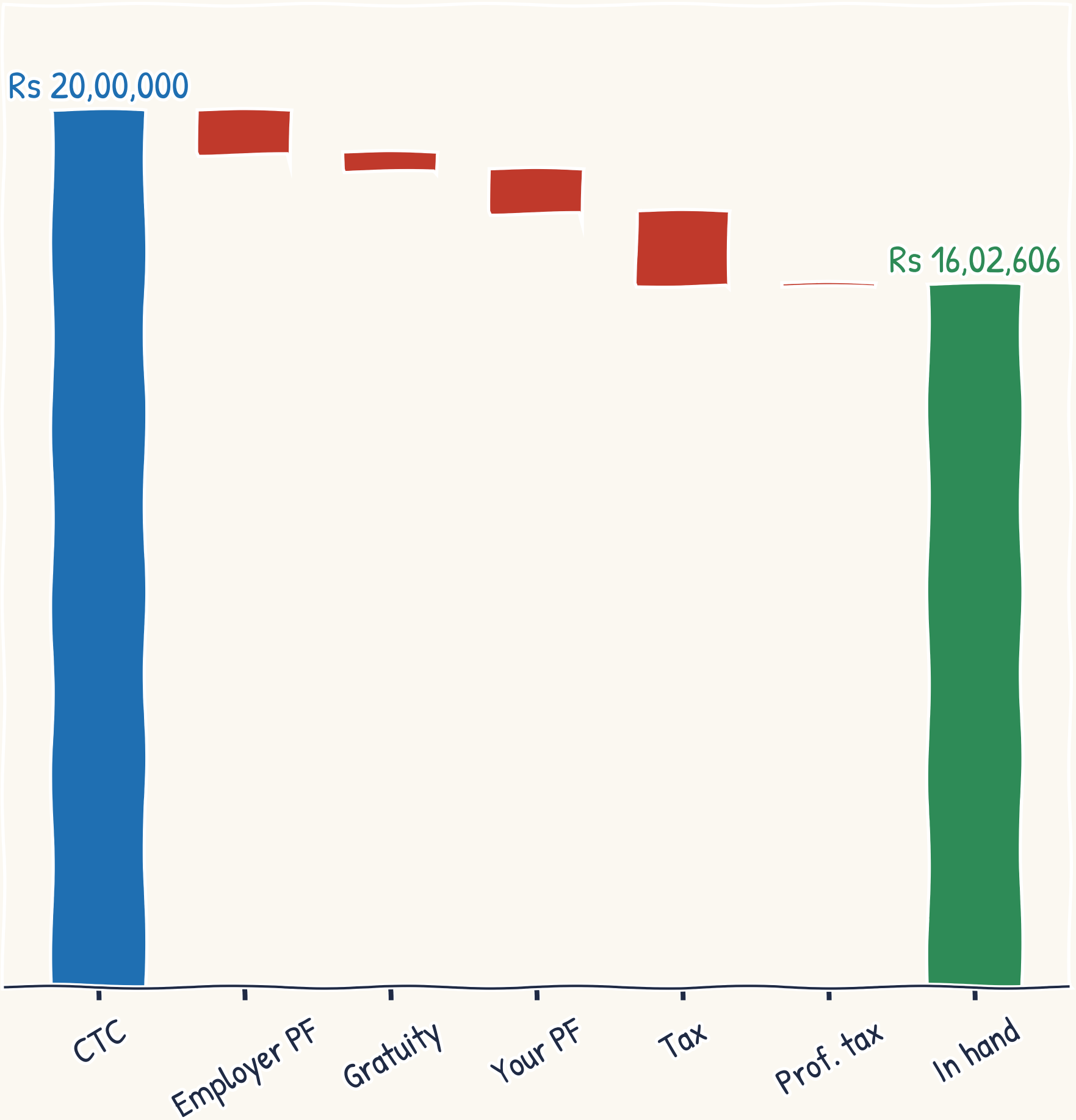
- Rs 2,500

Professional tax.

Small, but it's there.

swipe ->>

Rs 20 lakh -> Rs 16 lakh



About 80% of the CTC. Roughly Rs 1,33,550 a month.

swipe ->>

Compare offers on in-hand pay,

and on what you'll learn there.

Not on the number your relatives repeat.

swipe ->>

CTC is the number parents quote in arranged marriages.

In-hand is the number your landlord cares about.

Save this for your next offer letter.

Worked example: basic 40% of CTC, PF 12% of basic, new regime FY2026-27. Not tax advice.